

5.3 THE ECONOMIC ROLE OF GOVERNMENT WITHIN THE UK



C1.1-2.3; N1.1-1.3; IT1.1-2.3; WO1.1-2.3; LP1.1-2.3; PS1.1-1.3.



1e, 1h, 1i, 1j, 2a, 2b, 2c, 3a

This section of the specification considers the macro-economic role of the government within the UK economy. It looks at variables such as economic growth, unemployment and price stability, and the potential conflicts which exist between the achievement of macro-economic objectives. It also considers the role and impact of government fiscal policy.

(a) The role of government within the UK economy

- Understand the role of the government budget, and the effects that government policy can have upon macro-economic variables such as growth, unemployment, price stability and inflation and market failure.

(b) Government income and expenditure

- Understand the reasons for the budget and the meaning of a budget surplus and a budget deficit.
- Understand the implications of a budget surplus and a budget deficit.
- Be aware of the sources of central government income and local government income.
- Understand the reasons for taxation.
- Appreciate the qualities of a 'good' tax.
- Identify the differences between direct and indirect taxation, and the implications of changes in direct and indirect taxation.

- Understand the differences between progressive, regressive and proportional taxation.
- Identify the main areas of central government spending and local government spending.
- Appreciate the effects of the redistribution of income through government taxation and spending.
- Evaluate the impact of government income and spending on the economy.

Recent trends in the UK economy and government economic policy with regard to:

(i) Economic growth

- Understand what is meant by economic growth.
- Show how economic growth can be measured by reference to GDP.
- Identify the causes of economic growth.
- Evaluate the advantages and disadvantages of economic growth.

(ii) Unemployment and training

- Understand what is meant by unemployment and how it is measured.
- Identify the types and causes of unemployment.
- Understand the consequences of unemployment.
- Understand what is meant by training.
- Appreciate how training can reduce unemployment.
- Explain the demand-side and supply-side solutions for unemployment.
- Appreciate the impact of demand-side and supply-side solutions for unemployment.

(iii) Price stability and inflation

- Understand the importance of price stability.
- Understand what is meant by inflation.
- Be aware that inflation is measured by the RPI.
- Explain the causes of inflation.
- Explain the economic consequences of inflation.
- Understand government demand-side and supply-side policies to achieve price stability.
- Understand the role of the Bank of England monetary policy committee in setting interest rates.

(iv) Potential conflicts between policy objectives

- Understand that attempts to achieve one macro-economic policy objective (such as price stability) might have adverse effects on one (or more) other policy objective.

Market failure and government policy

- Understand what is meant by market failure.
- Identify external costs and benefits in competitive markets.
- Explain how governments may control external costs.
- Explain what is meant by monopoly power.
- Describe the causes and consequences of monopoly power.
- Explain the role of government in promoting competition.
- Identify public and merit goods.
- Identify and appreciate the reasons for the provision of public and merit goods.